

Critically evaluate the difference startup schemas introduced by government of India

Introduction

• The government of India introduced the startup India seed fund schema in January 2021, hoping to support relatively early-stage enterprise. With a total budget of ₹945 crores, it would finance 3600 business and 300 incubator.

• Startup India is a flagship initiative launched by the government of India on 16th January, 2016 to build a strong eco-system for nurturing innovation and startup in the country which will drive economic growth and generate large scale employment opportunities.

• Startup India schema is an initiative by the government of India for generation of employment and wealth creation. The goal of startup India is the development and innovation of products and service and increasing the employment rate of India.

• Powered by the DPIIT, the startup India schema offers financial aid as loans and subsidies to potential business owners and organisations.

⇒ Startup Indian Initiative

The flagship program serves as the foundation, simplifying regulations with self-certification and compliance relaxations. With over 58,000 startups benefiting, it has demonstrably created an estimated 1.75 lakh jobs, showcasing its impact.

Beyond self-certifications and compliance relaxations, the initiative offers:

- funding opportunities : startup India hub connects you to relevant investors and networks.
- mentoring programs : connect with experienced industry veterans for guidance.

The following benefits are provided to the eligible startups

- Startup can self-verify compliance with 6 labor laws and 3 environment laws online.
- Patent applications by startups will be expedited, with an 80% rebate on filing fees.
- Eligible startups can enjoy a 3-year income tax exemption within their first ten years.
- Startup with simple debt structures can be liquidated within 90 days under the insolvency and bankruptcy code.
- DPIIT-recognized startup can sell products and services directly to government entities through

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the government e-marketplace (Gem), fostering opportunities for trial orders.

⇒ startup India seed fund schema

seeding funding is the second stage of startup funding in which it is ready with the prototype and needs to test the product or service in the market. At this stage, startups require huge funding, and the inadequacy of capital might result in the failure of the startup.

Therefore, DPIIT has launched the startup Indian seed fund schema (SISFS) with a budget allocation of INR 945 crore. This initiative aims to offer monetary support to eligible start-ups at their initial stages to help them in activities such as proof of concept, prototype development, product testing, market-entry, and commercialization.

An expert advisory committee (EAC) has been established to handle the execution and monitoring of the SISFS. It evaluates and selects incubators for allotment of seed funds, monitors progress, and takes all necessary steps for efficient utilization of funds.

Under the scheme, eligible startups receive -

- grants up to Rs. 20 lakhs for validation of prototype development, or product trials;
- Investments up to Rs. 50 lakhs for activities such

as market entry, commercializing, or scaling up through convertible debentures, debt, or debt-linked instruments.

⇒ Credit guarantee scheme for startup

The credit guarantee fund trust for micro and small enterprises (CGTFSE) is a collaborative effort of the ministry of micro, small and medium enterprise (MSME), the government of India, and the small industries development Bank of India (SIDBI) to mobilize domestic capital for Indian startup its purpose is to -

- Enhance the accessibility of institutional credit for micro & small enterprises (MSEs);
- Reinforce the credit delivery system; and
- expand financial access to underserved and underserved segments.

• Under the credit guarantee scheme, the trust (CGTFSE) provides a credit guarantee to lending institutions such as banks and financial institutions for loans provided by them to micro and small enterprises

• Guarantee for loan amounts up to Rs. 50 lakhs are provided and the guarantee stamp between 75-85% of the loan amount, which reduces the risk of the lender. Further, the annual guarantee fee for an amount up to

As to jobs is as low as 0.37%.

⇒ Atal Innovation Mission (AIM)

Atal Innovation Mission (AIM) is set up under the guidance of NITI Aayog. It is a premier effort taken by the government of India to foster a culture of innovation and entrepreneurship within the nation. It aims to innovate, create, and design market-ready products with the help of cutting-edge technologies in 17 pre-defined focus areas.

Several programs and projects have been launched under the banner of AIM to offer vital assistance, mentoring and funding to startups in a variety of sectors. The following are the 2 main initiatives for startups and innovation centers

- AIM has established Atal Innovation Centres (AIC) across universities, institutions, and business entities as part of its objective to cultivate a culture of innovation and entrepreneurship in India. These AICs provide vital support to incubated business such as cutting-edge facilities, resource access, mentorship, finance, collaborations, networking opportunities, co-working space, and laboratory facilities.

- AIM operates 69 AICs in 18 states and three union territories. Notably, these AICs have helped over 2000 startups, with over 900 led by women, helping

to create over 30,000 jobs in the startup ecosystem.

⇒ The benefits of startup India scheme

Under the startup India initiative, eligible companies can get recognised as startups by DPIIT, in order to access a host of tax benefits, easier compliance, IPR fast-tracking and more.

- simple process

The government of India has launched a mobile app and a website for easy registration for startups.

- Reduction in cost

The government also provides lists of facilitators of patent and trademarks. They will provide high-quality intellectual property right services including fast examination of patents at lower fees.

- Tax holidays for 3 years

startups will be exempt from income tax for 3 years provided they get a certification from Inter-ministerial board (IMB)

⇒ The Conclusion of startup India scheme

In conclusion, the startup India program unfolds a myriad of benefits, making it an opportune time for aspiring entrepreneurs.